

Research Briefing | Eurozone

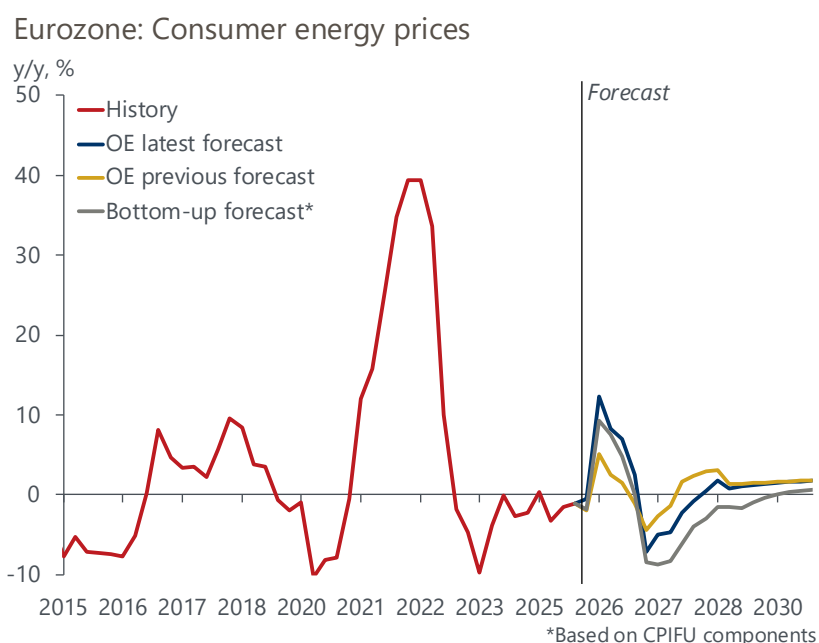
Why this shock differs from the 2022 energy crisis

- We expect the energy price shock triggered by the Middle East conflict to be milder than that following Russia's invasion of Ukraine. The 2022 shock was a structural hit to Europe's energy supply, whereas the current crisis is likely to be temporary as energy flows are expected to resume when the conflict and associated disruption subside.
- European gas prices have surged but are significantly below 2022 levels; futures markets also paint a more benign picture. Key risks are around further damage to gas infrastructure and the need refill depleted EU gas storages putting upward pressure on prices. But we expect operators to take a wait-and-see approach rather than bid up LNG prices.
- A key difference to 2022 is that the reaction of wholesale electricity markets to the surge in gas prices has been more restrained. The role of gas as the key price-setting technology has diminished as the share of renewables has expanded alongside increased hedging by utilities.
- The surge in oil prices resembles the previous energy crisis in its magnitude and the expected only gradual decline. The damage to refineries and a slow ramp up of output will keep refinery margins elevated and put upward pressure on downstream prices. As a result, government support packages have so far focused on lowering taxes on transport fuels.

The energy price shock sparked by the conflict in the Middle is shaping up to be milder than that seen in the wake of Russia's invasion of Ukraine. This is due to the temporary nature of the disruption this time and the significant decoupling of wholesale electricity prices from gas prices.

Higher transport fuels will likely be the main channel for price rises, due to both surging oil prices and the damage to refining capacity in the Middle East. We expect consumer energy prices to peak at just over 10% y/y this year, versus a much higher peak in 2022 (**Chart 1**). But the uncertainty around the duration of the conflict and extent of future disruption amid ongoing strikes adds upside risks to our forecast.

Chart 1: Consumer energy prices are set to peak much lower than in 2022



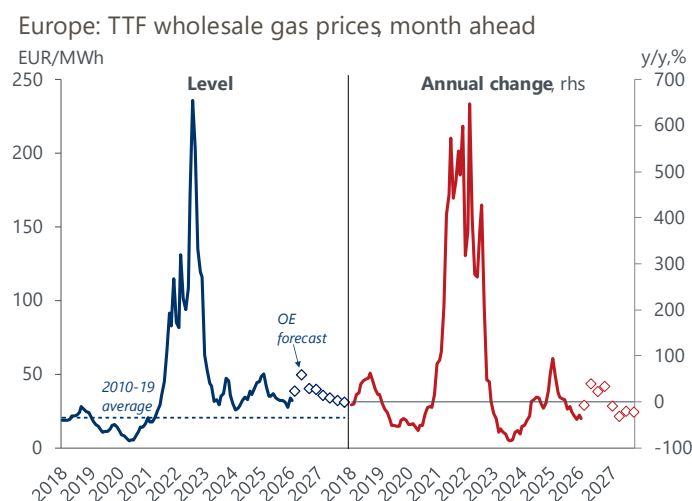
Sources: Oxford Economics, Haver Analytics

Why this shock differs from the 2022 energy crisis

The gas price surge is much lower this time

A key difference between the situation now and the previous crisis is a much smaller surge in European wholesale gas prices. As Russia throttled supplies in the run up to its invasion of Ukraine, markets priced in a permanent loss of Russian gas, leading to scarcity pricing and unprecedented peaks. The situation now is different. Global gas markets entered the crisis from a position of greater balance, with new LNG capacity coming online. What's more, the market so far has viewed the current disruption as temporary. This is why we anticipate wholesale gas prices peaking lower and returning to pre-war levels by next year (**Chart 2**). That said, risks will skew to the upside the longer the conflict continues, given the likelihood of further damage to Middle East gas fields and related infrastructure.

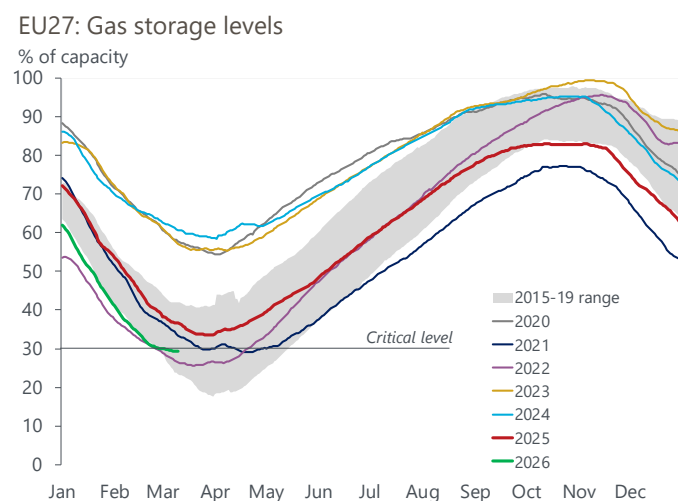
Chart 2: We expect a limited and temporary price surge in the EU's wholesale gas markets



Sources: Oxford Economics, Haver Analytics

Aside from potential new damage to gas infrastructure and shipping, a key uncertainty for gas prices is the pace at which EU gas storages are refilled and to what level ahead of next winter. That could see global LNG prices bid up amid constrained supply (**Chart 3**). The requirement to refill gas storages up to 90% by the following winter during the previous crisis has recently been watered down – the deadline has been pushed back one month to December 1 with significant flexibility of up to 15ppts around the refill target. Consequently, we expect storage operators – who view the disruption as temporary – will wait to see what happens to wholesale prices over the next few months in the hope that they subside.

Chart 3: EU gas storages ended this heating season especially low



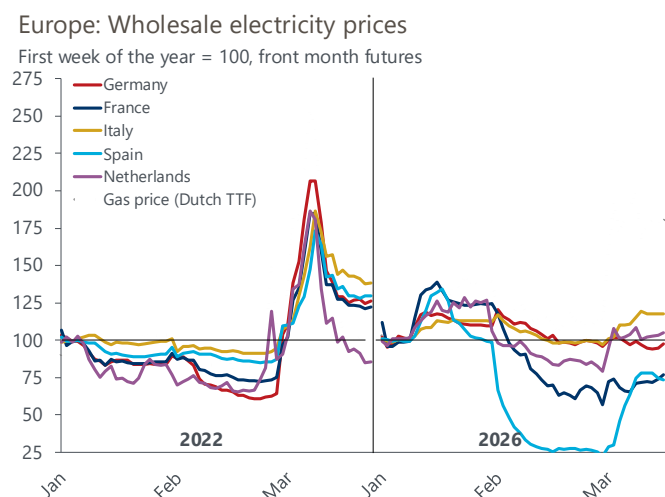
Sources: Oxford Economics, AGSI

Why this shock differs from the 2022 energy crisis

Power prices have reacted much less to a surge in gas prices

Another key difference to 2022 is the much smaller extent to which wholesale electricity prices have reacted to the surge in gas prices. Unlike in 2022, when wholesale electricity prices tracked the surge in gas prices closely, this time the reaction has been much more muted (**Chart 4**). As electricity makes up almost 3% of the Eurozone consumer price index, this is a key driver of the more benign price outlook.

Chart 4: Wholesale electricity prices have surged much less than in the past

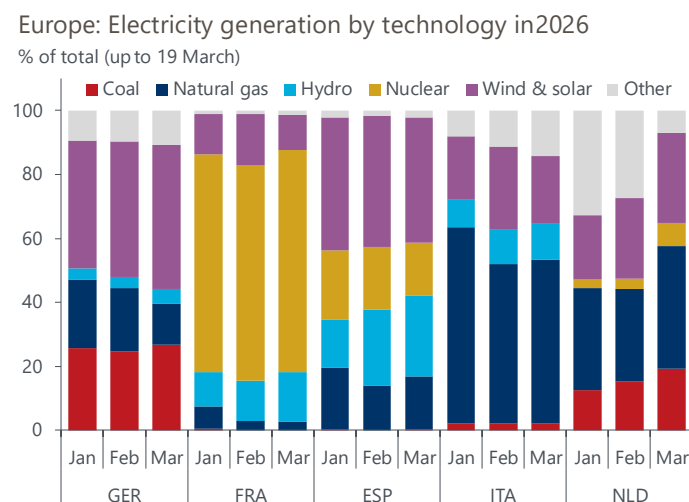


Sources: Oxford Economics, Haver Analytics

Moreover, the much smaller surge this year started from a much lower base, as the throttling of gas supplies in 2021 in the run up to the invasion of Ukraine also pushed up wholesale electricity prices. For instance, Spain's month-ahead wholesale electricity prices plunged in February and then surged the most in March. But they are still the lowest in level terms (EUR 40/MWh) relative to all other major economies (three-times lower than in Italy) and a fraction of the level in 2022-2023.

Multiple factors are at play. First, the overall role of gas in the power mix has diminished thanks to greater renewables penetration. Consequently, the periods during which gas acts as the price-setting technology have shortened, as cheaper alternatives displace it in the merit order. Second, increased hedging by utilities has dampened price volatility, fostering stability in wholesale electricity markets despite the disruption and the still sizeable role for gas in power generation in many European countries. In March, the share of gas in the power mix ranged from 0% in France to 15% in Germany, 18% in Spain, and 55% in Italy (**Chart 5**).

Chart 5: Renewables up, but gas still plays a significant role in the power mix for some



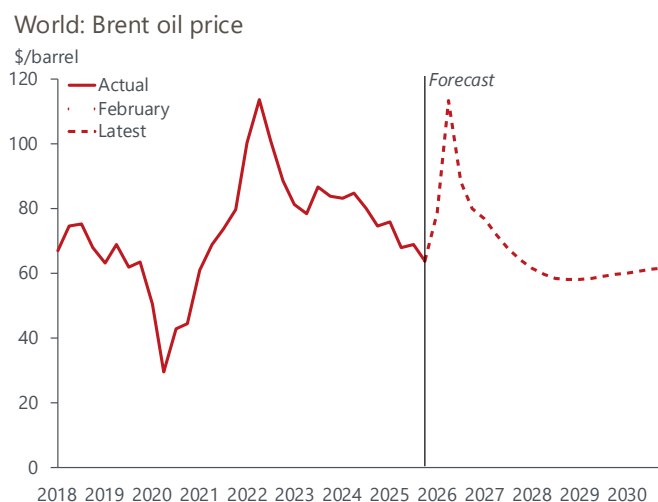
Sources: Oxford Economics, ENTSOE

Why this shock differs from the 2022 energy crisis

Fuel prices will sting the most

So far, the greatest similarities to 2022 are the surge in oil prices and refined products. We expect oil prices to peak at a similar level to 2022 in Q2 this year, and to decline only gradually thereafter (**Chart 6**). We expect the Brent crude price to average \$90 per barrel this year, versus \$100 in 2022. Given the centrality of oil to Europe's economy, with oil products accounting for almost 40% of the EU's total available energy, this will affect more than just energy prices – it will also be reflected in food and core prices. As with gas, the risk of higher oil prices will increase the longer the conflict goes on.

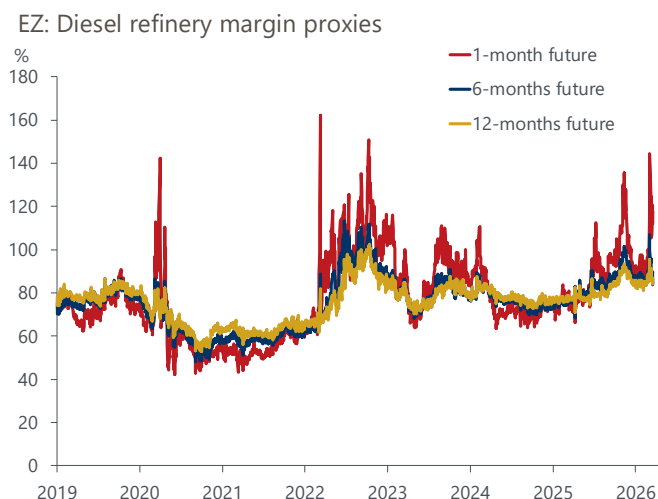
Chart 6: We expect the spike in Brent to be similar to 2022



Source: Oxford Economics/Haver Analytics

Consumers face further pressure from reduced refining capacity following Iranian strikes on Middle East facilities. This disruption will persist even without further escalation, as restoring operations takes time. Consequently, the recent surge in refinery margins (**Chart 7**) is unlikely to normalize soon and will be passed downstream to consumers.

Chart 7: Our proxy for refinery margins has surged



Sources: Oxford Economics, Haver Analytics

This explains why proposed EU government support packages are primarily focused on cutting fuel taxes to lower prices at the pump. While we have not yet incorporated large-scale support into our baseline, such measures represent a downside risk to fuel prices – particularly in countries with upcoming elections or high household sensitivity to petrol costs. Among refined products, jet fuel has seen the sharpest price spike, which will likely translate into higher airfares and, by extension, elevated services inflation.

Why this shock differs from the 2022 energy crisis

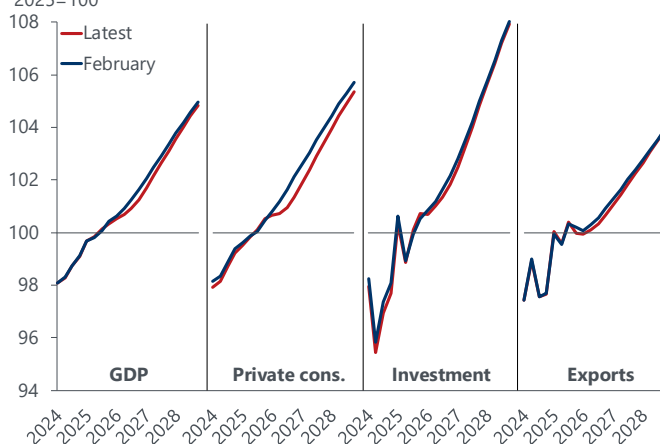
Hit to real incomes and tighter financial conditions

The primary impact on the real economy will manifest through higher inflation, which will dent household real incomes and tighten financial conditions – weighing on both investment and large-scale purchases. This shock arrives just as Eurozone leading indicators were signalling positive momentum, with consumer spending positioned as the main growth driver. Consequently, in our March forecast round, we have trimmed our 2026 GDP growth projection by 0.3ppts to 0.8%. The downward revision is primarily driven by lower consumer spending and, to a lesser extent, a reduction in fixed investment (**Chart 8**). Risks to our forecast are two-sided, contingent on the duration and intensity of the conflict-related disruptions.

Chart 8: Lower private consumption growth is the main driver of the downward revision to GDP

Eurozone: Real GDP and components

2025=100



Sources: Oxford Economics, Haver Analytics